

A serious family, with a serious long-term wealth strategy, on the other hand, can't do that, for a number of reasons. First, the obvious: It knows that chasing alpha will give it only average returns over time. It knows that average, long-term returns are very small. As discussed in Chapter 3, it wants to do better than that.

Not only that, it knows it *must* do better than that. Otherwise, the money will disappear. Why? Because after taxes and a genuine adjustment for inflation, the real return of the stock market, over time, is trivial. And there are always errors, setbacks, taxes, and nasty surprises that cost you money. Mistakes and accidents are inevitable; the Old Money family needs to aim for a higher rate of capital growth to offset unavoidable calamities.

How to do it? The secret is to use the one big advantage of very long-term investors: time itself.

Instead of chasing alpha, successful multigenerational investors go after “beta.”

In the long run, it's beta that makes fortunes, not alpha. Every study proves it.

Put simply, asset allocation is how serious investors think about investing. This approach is backed up by historical data. Two separate studies—one by Brinson, Hood, and Gilbert in 1986, and another by Ibbotson and Kaplan in 2000—showed that professional fund managers' asset allocation decisions are responsible for nearly 100 percent of returns.

In the first study, which was published in the *Financial Analysts Journal*, the authors looked at the asset allocation of 91 large pension funds between 1974 and 1983. To find out how much asset allocation mattered, they replaced the funds' cash, bond, and stock allocations with corresponding indexes.

The results were startling. The quarterly index returns—without a single stock or bond pick—did better than the funds' actual returns. And the correlation between the index returns and the returns that came from stock picking was 96.7 percent.²

The second study appeared in the same peer-reviewed journal. The study authors looked at the 10-year returns of 94 balanced mutual funds (that involved active stock picking) versus the corresponding index returns. Again, the actual returns failed to do better than the index (asset allocation